

Intellectual Property Rights (IPRs) and its role in propelling the growth of the MSME sector

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Abstract

For micro-, small-, and medium-sized enterprises (MSMEs), the current economic scenario might be altering. The transformation of a country's socioeconomic standing, particularly in a developing country like India, is not a simple process. Micro, small, and medium-sized firms are a varied and heterogeneous collection of enterprises with a wide range of ailments and constraints. In this respect, MSMEs should get involved in invention/innovation by doing continuous and productive research and development. Intellectual Property Rights (IPR), is one aspect that can help MSMEs avoid stumbling blocks and achieve global standards. IPR is a broad term that encompasses all aspects of a company and serves as a valuable corporate asset. Patent and trademark databases include a plethora of technological and commercial information that MSMEs may use to learn about recent technological advances, discover prospective partners, and learn about rivals' creative activities. For entrepreneurs all around the world, efficiently managing intellectual property and leveraging it to develop company strategies is becoming increasingly important. In the last 7 years, India has launched several programs such as Digital India, Start-Up India, Make in India, and Stand-up India, as well as the current Aathmanirbhar Bharat, which aims to achieve a \$5 trillion economy and long-term sustainability. The enterprise, via its vigilance and vitality, should demonstrate remarkable innovativeness and flexibility

to withstand the recent economic downturn, and IPR will provide many chances for future growth in this respect. MSMEs' IP strategies should take a comprehensive approach to the various forms of IP assets. In this article, we have emphasized the impact and relevance of IPR as a competitive strategy for propelling the growth of MSMEs. The objective is to raise MSME knowledge of IPRs so that they may take steps to safeguard their ideas and business plans.

KEYWORDS

economy, entrepreneurs, globalization, innovation, Intellectual Property Rights, MSME

1 | INTRODUCTION

Globalization, it is claimed, has increased worldwide market competition.¹ Over the last decade, globalization of economic activity has accelerated, emphasizing the need of cross-border collaboration in terms of innovation. The innovation activity entails collecting foreign inputs for invention (ideas, finance, skills, and technologies) and utilizing the outputs (products and services, licenses, patents, and so forth) in foreign markets.² Several global organizations like multinational corporations, the Worldwide Monetary Fund and the World Bank, stresses on the importance of competition in international commerce. While globalization is not a new phenomenon, the real impact of globalization only became apparent when the World Trade Organization (WTO) was established. In today's worldwide economy, a large number of firms, governments, and other economic entities are involved. Globalization has proved to be beneficial in terms of more efficient resource allocation between nations, as seen by increase in productivity, efficiency, average wages, and salaries, as well as stronger competition, lower pricing, and more product variety and quality. It gives companies a competitive advantage while also decreasing operational expenses. The way one organizes knowledge determines one's competitive advantage.³ Globalization has resulted in resource diversification, the emergence of new investment possibilities by opening up new markets, and access to new raw materials and resources.⁴ Micro-, small-, and medium-sized enterprises (MSMEs) are increasingly active in global competitive marketplaces, mostly as part of supply chains, but also as a result of expansion and growth. In today's market economy, the traditional factors/determinants of wealth production (land, labor, and capital) do not have a central role since MSMEs have always relied on local markets; they are now less prepared to address market difficulties in a highly competitive context.⁵ Community innovation is advancing at a breakneck pace. Many new goods are created by MSME organizations, where these industries/organizations play an important part in the country's economy and are one of the country's foreign exchange providers. Businesses in the MSME sector are extremely promising; despite the fact that the country is in the midst of a storm/economic crisis with a gap, but it is thought that the creative industries (MSMEs) can endure such conditions.⁶ In addition to receiving assistance from local governments, MSMEs in these locations must re-examine and change their competitive strategy by completely integrating innovation into their people, processes, and products. Because they are unfamiliar with the best ways to manage their knowledge assets, MSMEs confront a significant problem in the new climate.⁷ Few studies focused on MSME have attracted attention in recent decades, despite the fact that this economic sector makes a significant contribution to the economy. In sum, 90.0–99.0% of firms worldwide are small and medium enterprises (SMEs), with the majority being tiny or microbusinesses.⁸ MSMEs also serve as a buffer, particularly for employment and socioeconomic communities.⁹ Current industry developments, such as flexible manufacturing, downsizing,

outsourcing, and franchising, favors MSME, and as a result, they play a significant role in a country's stability and growth.¹⁰ Therefore, in the economic development, small enterprises are critical to the long-term viability of national economic growth following the economic crisis. MSMEs, in addition to contributing to the economy, assist the domestic workforce by providing jobs, which decreases unemployment.^{11,12}

The economic crisis has resulted in a severe fall in the monetary and financial sectors, particularly those dealing with external and internal pressures such as the real economy's structure. Before the crisis, the government placed a strong emphasis on the upstream business. There is a claim that the downstream sector will simply follow the upstream industry's development. In reality, building a major industry is still a problem for which no one has the power to provide advice. The authorities had wasted too much time before launching MSMEs as a program to boost downstream sectors and large-scale enterprises. As a result, the downstream industry was the worst hit by the economic downturn. If they had imposed MSMEs as a way to address difficulties in the business, the downstream industry would not have ended up in such a precarious position. Because MSMEs rely on their competitive edge, MSME is the solution to the problem.^{13,14} New goods, brands, and unique ideas come in the market almost every day as a consequence of human invention and creativity and here IPR contributes substantially to sustainability and development in the early phases of a knowledge-driven economy. The term "intellectual property" (IP) is used all across the industry but its importance to MSMEs is frequently undervalued. It encourages market-place innovation and inventiveness. A well-functioning IP regime promotes market innovation. IP protection may not provide many benefits to developing nations if they are unable to produce and use their own IP.¹⁵ IPRs can be defined as *A right that is had by a person or by a company to have exclusive rights to use its own ideas, plans, or other intangible assets without the fear of competition, at least for a specific period of time. Copyrights, patents, trademarks, Geographical Indications, and trade secrets etc. are examples of these rights.*¹⁶ IP was created to stimulate invention without worry of a competitor stealing the idea and/or taking credit for it. Since MSMEs serve as auxiliary units to big enterprises, this sector makes a significant contribution to the country's socioeconomic growth. MSMEs do not focus on IPR due to a lack of knowledge, ignorance, and other technological restrictions; as a result, MNCs and other large-scale businesses may exploit their MSMEs counterparts' unique approach or methodology. To consolidate MSMEs' weaknesses and safeguard their distinctive goods and services from huge, multinational corporations there is a significant possibility for MSMEs to get IPRs, as well as government incentives for MSMEs to obtain patents, as well as identifying and analyzing the number of MSMEs that applied for and obtained IPRs using government incentives.¹⁷ Catch-up economies tend to follow an imitation-oriented technological strategy early in their economic development and are unconcerned about IP protection. However, as their technological skills improve, countries begin to establish a well-functioning IP system in later phases of economic growth. A well-functioning IP system, in the long run, creates a favorable climate for innovation and economic progress.¹⁸ Therefore, in this paper we will be discussing about the background of Indian MSME with a special emphasis on utilization of IPRs as a strategy to boost up the economy and the attempts undertaken to promote Indian MSME in the global market.

2 | BACKGROUND OF THE INDIAN MSME

The MSME sector in India is widely acknowledged as a key contributor to the country's economic progress. It is believed to be the Indian economy's backbone. It has given the country the ability to withstand global economic shocks and adversity.¹⁹ The MSME sector makes a major contribution to the country's manufacturing production, employment, and exports.²⁰ Despite achieving amazing and steadily growing economic development in recent years, India continues to confront several challenges in providing enough job opportunities for people, particularly the younger population. Youth already accounts for over 35% of the population, and the Indian workforce is anticipated to grow to 600 million by 2022, up from the current projection of 473 million.²¹ "Today, India has the world's third-largest startup ecosystem, with 21 unicorns worth \$73.2 billion."²² The Central government's economic aims include making it easier to do business, attracting FDI, creating jobs, and fostering skill development

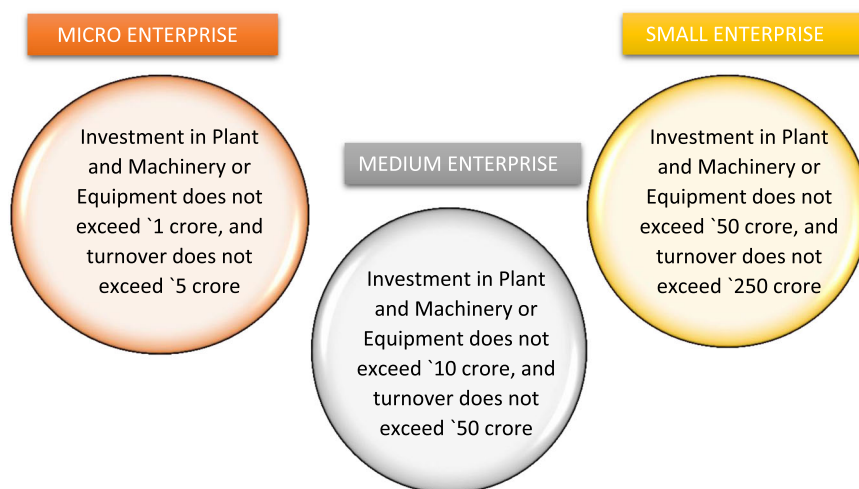


FIGURE 1 Revised classification of MSME applicable w.e.f July 1, 2020. [Color figure can be viewed at [wileyonlinelibrary.com](https://onlinelibrary.wiley.com/doi/10.1111/wip.12243)]

and entrepreneurship. According to a Confederation of Indian Industry (CII) study of over one lakh firms, the number of net employments generated in the MSME sector in the last 4 years was merely 3,32,394, which is 13.9% more than the base 4 years ago.²³ The MSME sector accounts for around 8% of the country's GDP. Furthermore, when compared to the rest of the industrial sector, this industry has continuously grown at a faster rate. There are approximately 6000 items, ranging from basic commodities to highly specialized products/services that are being defined as MSMEs with the goal of separating them from the rest of industry to provide governmental support for exclusive marketing.²⁴

2.1 | Definition of MSME

MSME definitions have been updated to include a new turnover criterion as well as an increase in investment limitations. The new categorization came into effect on July 1, 2020. The MSMED Act of 2006 had a previous criterion for classifying MSMEs that was based on investment in plant and machinery/equipment. Manufacturing and service units were perceived separately. In terms of budgetary constraints, it was likewise extremely low. Since then, the economy has changed dramatically.^{25,26} On May 13, 2020, the Aatmnirbhar Bharat package announced a modification in MSME classification criteria. Exports will no longer be included in the overall turnover for MSME categorization in the new definition. Furthermore, there is no longer a difference between the industrial and service sectors. This has been done to establish an objective system of classification and to provide ease of doing business.^{27,28} The revised criteria for the classification of MSME are shown in Figure 1.

As per the annual report of the Ministry of MSME for the financial year 2020–2021 it was found that the MSME sector is dominated by microenterprises. India has approximately 6.3 crore MSMEs. According to MSME Ministry data, the Udyam Registration platform registered 40,78,353 MSMEs as of July 30, 2021, with 93% being microenterprises, 6% being small enterprises, and 1% being mid-sized firms as shown in Figure 2. According^{29,30} to CII, the Indian MSME sector contributes nearly 6% of the manufacturing GDP and ~25% of the GDP from service activities as well as 33.4% of India's manufacturing output. From 21.21 lakh (2.1 million) units in 2019, the number of registered MSMEs increased by 18.5% to 25.13 lakh (2.5 million) units in 2020.³¹ The top five states in India are

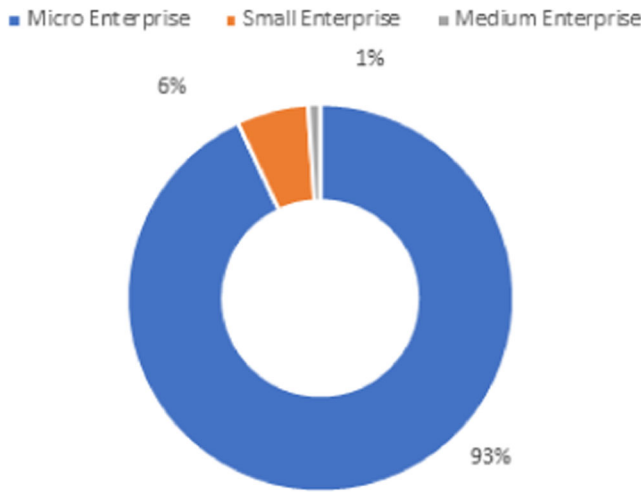


FIGURE 2 Registered MSMEs in India (2021) [Color figure can be viewed at [wileyonlinelibrary.com](https://onlinelibrary.wiley.com/doi/10.1111/wip.12243)]

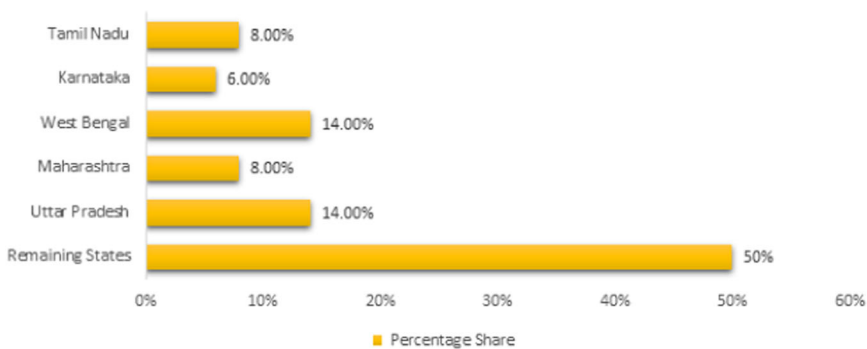


FIGURE 3 Top five States with registered MSMEs and their percentage share [Color figure can be viewed at [wileyonlinelibrary.com](https://onlinelibrary.wiley.com/terms-and-conditions)]

Uttar Pradesh, West Bengal, Tamil Nadu, Maharashtra, and Karnataka which together account for 50% of all registered MSMEs^{32,33} (Figure 3).

Government^{34,35} e-Marketplace,³⁶ which is owned and operated by the government and from which Ministries and public sector undertakings obtain their purchases, is encouraging MSMEs to advertise their products on the e-commerce platform.³⁷ Until September 2020, the platform has registered transactions of Rs. 55,048 crore (US\$ 7.5 billion). The Ministry of MSME operates a number of credit and financial assistance schemes, including the Entrepreneurship and Skill Development Program and the Prime Minister's Employment Generation Programme. Credit Linked Capital Subsidy Scheme, and skill development and training schemes, including Scheme for Promotion of Innovation, Rural Industry, and Entrepreneurship, Scheme for Micro and Small Enterprises Cluster Development Programme (MSE–CDP), Scheme of Fund for Regeneration of Traditional Industries, and Financial Support to MSMEs in ZED Certification and Support for Entrepreneurial and Managerial Development of SMEs through incubators are examples of technological and quality improvement initiatives. On November 2, 2020, TransUnion CIBIL, in collaboration with the Ministry of Statistics and Programme Implementation (MoSPI), released the MSME Credit Health Index to give accurate measurements and set benchmarks to develop and strengthen the MSME sector in India.³⁸ Thus, the growth of MSME sector is critical, as it is regarded as India's backbone. Despite their

strong growth rate and promising potential, Indian MSMEs face a number of challenges. The most significant obstacles include a lack of timely financing, the inability to procure raw materials at a competitive price, insufficient infrastructural facilities such as power, water, and roads, and a shortage of trained personnel for production, services, and marketing.³⁹ The Indian government aspires to grow the country's GDP to \$5 trillion in 5 years. To achieve this goal, career opportunities for the young population have been developed, and MSMEs have the potential to be a key employment creator. As a result, the government has made MSMEs a priority for promotion to create new jobs in the sector. To achieve these aims, the government should invest in providing extra back-end services to enhance the performance of the MSME sector, which delivers goods and services to major industrial enterprises. Constraints in the sector's ability to become competent include a lack of technology-based manufacturing activities and minimal investment in R&D. The government might subsidize globally available technologies so that MSME players' product quality can be enhanced utilizing current resources. This also needs the assistance of academic institutions in the form of product innovation research and development (R&D) services.⁴⁰

3 | HOW IPR HELPS MSMEs IN THEIR COMPETITIVE STRATEGY

In today's world, the utilization of IP has become a significant asset for MSMEs. It seems appropriate to quickly address a debate: Does IP improve the competitiveness of MSMEs? IPR, according to one viewpoint, helps MSMEs to become more competitive through technical advancements. However, it appears that this reasoning glosses over the challenges, complexity, and uncertainties inherent in innovations, as well as the reality that the vast majority of breakthroughs are either not utilized or fail. If MSMEs are to be more competitive, it appears that IPR must play a role in facilitating innovation.⁴¹ Since MSMEs encounter several budget woes, as well as promoting their product and service as a key concern. As a result, IPRs such as a trademark, patent, copyright, geographical indication tag (GI tag), and so on would be more valuable in this respect. MSMEs may be on the path to profitability and sustainability by adopting IPR as a primary strategy for their products and services.⁴²

IP plays an essential role in the growth and preservation of MSMEs in India. According to research, the existence of IPR laws has a major impact on economic growth. The importance of the MSME sector in India's development is also well known. With greater job possibilities, enhanced productivity, and improved skills and education, it contributes to high and inclusive growth. In this era of technological competition, IPRs are increasingly being exploited as a corporate tool to obtain economic gains throughout the world. MSMEs have grown susceptible to competition from international giants as our economy has opened up. MSMEs in India regard IPRs as a mystical idea, oblivious to the reality that their ability to turn knowledge into money via the process of innovation which will decide their future. IP production, appraisal, protection, and exploitation will become more crucial for MSMEs all over the world.⁴³

In this competitive era, IPRs protection plays a critical role in establishing a modestly advantageous position for holistic growth. In general, India's R&D and research institutions provide a lot of value. While the majority of nations have adopted strategies to strengthen their industries and trade by promoting inclusive IPR protection, Indian industries, particularly SMEs, are lagging behind in stressing the importance of IPR and responding positively to global IPR changes. It is critical for MSME in India to take a proactive approach to the development, protection, and management of IP to compete in the global market and achieve company success. This COVID19 has produced a poor business environment for all sectors, but MSMEs have had a particularly devastating impact. "In the coming days, roughly 8–10 lakh units will be restructured," the MSME Minister said, adding that owners must look after their employees and put in place procedures for appropriate sanitization as a preventive step once they return to work. Due to a lack of understanding of IPRs, the majority of India's MSMEs are said to lose track of millions of dollars in income (IPRs). Each year, around 40,000 IP applications are filed in India, with multinational corporations filing 85% of them, leaving a significant number filed by SMEs, despite the fact that SMEs are responsible for the majority of worldwide innovation.⁴⁴ MSMEs in India are also working to reap the benefits of the IPR system. However, most Indian MSMEs have yet to be able to successfully employ IPR as a commercial tool to improve their

competitiveness in national and international markets. As a result, they should consider a variety of options, such as how to effectively leverage an IP framework for their own payback and profits. IP assignments, such as franchising and licensing, can assist MSMEs with every aspect of their business development and competitive strategy, from product development to product design, product marketing to service, and from raising financial resources to exporting or expanding their business internationally.⁴⁵ MSMEs can discover a variety of opportunities, such as increased market value and competitiveness, through earning revenue for MSMEs through IP assignments of IP-protected products. IP contributes to the company's value or worth in the perspective of investors and financial institutions. When it comes to asset sales, mergers, and acquisitions, IP assets play a critical role in raising the value of MSMEs to a level that cannot be attained without them. Successful IP management helps businesses to properly and profitably restore their IP systems. Obtaining IP may be critical and costly in the early stages, but if done in a methodical manner, it may pay off handsomely for a firm. IP production, valuation, protection, and exploitation will become more crucial for MSMEs all over the world. It is planned to establish a Centre for IPRs to meet the demand for developing skills and competency in managing IPRs and leveraging their influence among MSMEs in India. The Centre will work to bridge the knowledge gap that exists between developed and developing country MSMEs.⁴⁶

In a variety of ways, IPR protection aids MSMEs in becoming more competitive. It helps in:

- Keeping rivals from duplicating or closely mimicking a business's products or services;
- Obtaining fresh market access;
- Licensing, franchising, and other IP-based contract negotiations;
- Increasing the company's marketing value;
- Avoiding squandered research and development (R&D) and marketing expenditures;
- Obtaining venture funding and improving access to money;
- Using a trademark and branding strategy to establish a business identity.

4 | ATTEMPTS UNDERTAKEN TO PROMOTE INDIAN MSMEs IN THE GLOBAL MARKET

Until now, the most significant restriction has been technical backwardness. MSMEs in India typically lack up-to-date knowledge and are ignorant of the most recent technology available on the worldwide market. They might lack the managerial skills, entrepreneurial experience, or technology-intensive education required to run a successful MSME. This is an issue that is most prevalent in rural regions. MSMEs, it is said, might benefit more from information, communication, and technology (ICT) since they face greater competition from adjacent nations (China, Indonesia, Philippines, and Thailand). As a result, technological advancement is urgently required. To remain competitive, Indian MSMEs must embrace best foreign practices and upgrade their technology on a regular basis. Many SMEs find that cultivating the necessary skills and management practices for developing and integrating information generated by external partners with in-house practices and innovation processes is their biggest difficulty.⁴⁷

In developing nations like India, MSMEs usually focus on safeguarding physical assets like land and machinery, leaving IPR to larger businesses. With the launch of the L2Pro platform in the second week of October 2019, this tendency is poised to alter. More than 63 million Indian MSMEs will now have access to this e-learning platform, which will teach them about IPRs and how to apply them to build their enterprises. IPR concepts have historically been beyond the financial resources and goals of small businesses. IPR may be a difficult area for MSMEs to operate in without a thorough grasp of the subject or training in it. The newly established L2Pro platform, on the other hand, aims to change that. Qualcomm, government-led public bodies (the Cell for IPR Promotion and Management [CIPAM] of the Department for Promotion of Industry and Internal Trade [DPIIT]) and academia (the Centre for Innovation, Intellectual Property and Competition [CIIPC] at the National Law University Delhi [NLUD]) are all working on it behind the scenes.⁴⁸

4.1 | Schemes of Government/Government of India (GoI) measures

The government of India has adopted a slew of additional efforts, including Make-in-India, Digital India, Start-Up India, and Skill India, to help the Indian MSME sector expand holistically (GoI). Make-In-India is a broader collection of nation-building initiatives that was announced in September 2014. The primary goal was to turn India into a worldwide design and manufacturing center. Make in India is a unique type of promotion. It provides a framework for a great quantity of technical knowledge about 25 industry sectors, and it uses social media to reach out to a large local and worldwide audience, keeping them informed about possibilities, changes, and so on. The Digital India revolution offers several opportunities for MSME development and increased engagement in the ICT sector. SMEs may also use digitally enabled technology to build their own market intelligence, spread scale without mass, and gain access to global marketplaces and knowledge networks at a cheap cost. The digital transformation allows for the creation of “born global” small enterprises, as well as new chances for SMEs to improve their competitiveness in local and worldwide markets by innovating products or services. SME access to skills and talent may also be facilitated by the use of digital technology, such as improved job recruiting sites, outsourcing, and online task hiring, as well as connections with knowledge partners. On July 15, 2015, Prime Minister Narendra Modi announced the beginning of the Skill India programme, which aims to teach over 40 crore people in India in various skills by 2022. National Skill Development Mission, National Policy for Skill Development and Entrepreneurship, 2015, Pradhan Mantri Kaushal Vikas Yojana, Skill Loan Scheme, and Rural India Skill are some of the efforts included in this campaign. The United Kingdom has partnered with India on the skill India program.⁴⁹

As a strategic reaction to the globalization of the economy, the Government of India has made many efforts in the realm of IPR, including changes to patent laws and IPR/Patent Office innovation. In the face of a product patent regime, Indian businesses would have to rethink their growth strategies. Businesses, particularly SMEs, will be better equipped to safeguard their ideas and business plans if they are more aware of IPRs workshops on various aspects of the WTO, antidumping seminars, IPRs, and other topics are being held by the Indian Ministry of MSME to educate MSE entrepreneurs and other stakeholders about the likely impact of liberalization and globalization. The Finance Minister of India recently recommended in the next budget to decrease the tax rate on MSMEs with a turnover of less than Rs. 50 crores from the current 30%–25%. He stated that 96% of Indian firms submitting income tax returns in India will be eligible for this incentive. A reduced tax rate of 6% has also been suggested for small Indian firms with revenue of less than Rs. 2 crores, in an effort to promote the digital way of doing business. As part of the Public Procurement Policy, MSE order 2012, it was recommended that the Ministries and Departments of the Central Government buy 20% of products and services from MSE to expand the present market size of MSME. The Indian government is bolstering its current policies with a slew of fresh announcements and initiatives. For example, in September 2015, the Udyog Aadhar Memorandum (UAM) was notified as part of the Ease of Doing Business and to formalize the MSME sector. The system provided single-point registration on each page to prevent delays, and it is regarded as a ground-breaking effort. With the introduction of the Goods and Service Tax's “One Nation, One Tax” concept, Indian MSME may finally realize their full potential. Finally, the government of India has created plans and programs to improve technology, build clusters of such companies, make collateral-free bank financing accessible up to US\$ 1,25,000, and raise knowledge among these industries about export-related difficulties, among other things.⁵⁰

5 | THE NEED FOR IPR TRAINING FOR MSMEs

Effective IPR training, on the other hand, does not merely entail informing MSMEs about trademarks, patents, and copyrights. It also necessitates entrepreneurship training in areas such as how to commercialize and sell inventions, how to monitor and enforce IPRs, how to work with other MSMEs, and how to draft contracts. MSMEs will constantly struggle to understand IPR and how it may benefit them without such comprehensive IPR training.⁵¹

The Indian government is also realizing the importance of greater IPR training and development for small and medium-sized businesses. To encourage MSMEs to innovate, it announced cost reductions of more than 50% for different rights

such as patents and designs in September 2019. MSMEs might aspire to take advantage of rapid IP applications, streamlined procedures, and more personnel in the future with the appropriate assistance from regulatory agencies. The goal is for MSMEs to start thinking of IP as an asset. This can assist MSMEs in incorporating IP into their balance sheets, obtaining better investment and loan rates, and gaining control over their future. This is why initiatives like L2Pro are a welcome addition to the MSME sector. The platform is prepared to revolutionize MSMEs' understanding of IPR with its 11 courses ranging from basic to advanced levels, as well as diverse multimedia products and a mobile app. It would enhance the employment and national output figures of the MSME sector in the long term, as well as improve the legal and ethical standards of the India MSME area. The measures used to strengthen the MSME sector's manufacturing capability are intended to improve product competitiveness and increase exports. Higher value addition, cluster development, talent development and training, a focus on standardization and quality, access to affordable finance, and an incentive for innovation are all important elements to improve the competitiveness of Indian MSMEs.⁵²

5.1 | Development of cluster

Cluster development has been highlighted by the Ministry of MSME as a major approach for boosting MSMEs' productivity and competitiveness, as well as the country's collective potential. The goal is to provide access to the most up-to-date tools, technology, design, and testing facilities for such businesses, as well as to update infrastructural facilities. Cluster promotion has become a popular method of promoting MSMEs' competitiveness, and it has been aided by the provision of appropriate infrastructure, the promotion of linkages between SMEs and large firms, and the encouragement of local support institutions in existing or potential agglomerations.⁵³

5.2 | Access to credit

Several new ventures in the working capital area are also attempting to make it easier for small businesses to obtain loans. MUDRA, a specialized window that aims to target microfirms, was recently introduced as a key intervention for broad-based funding. MUDRA loans are considered as a substantial broad-based financial structure.⁵⁴

5.3 | Technological development

The Prime Minister's MSMEs Task Force, chaired by Principal Secretary T K A Nair, has proposed initiatives, including the need to revise the present FDI policy to boost capacity, capability, and technological development. A technology development fund of Rs. 1000 crore has also been proposed to tackle modern-day issues and to conduct technology upgradation, acquisition, adaption, and invention. Through 18 Tool Rooms and Technology Development Centers around the nation, the Ministry is also focused on high-end skilling and technological assistance. With the help of the World Bank, the Ministry of MSMEs has been allocated Rs. 2200 crore. This will allow it to open 15 new Technology Centers (TCs) as part of the Technology Center Systems Project, which aims to boost MSMEs' overall productivity. A Credit Linked Capital Subsidy program is also available.⁵⁵

5.4 | Launching of the IPR proposal

The proposal for "Enhancing awareness about the (IPR) was introduced to allow the Indian MSME to be more competitive in the global environment," according to the IPR proposal. The IPR project is expected to cost US\$ 12.5

million over the course of 5 years. IPRs protection is critical for obtaining a competitive advantage in the context of technological advancement and generating better economic growth.⁵⁶

5.5 | In sync/compliance with global IPR policies

Protecting a country's indigenous and small-scale companies is essential even in a global environment. They employ a large number of people and contribute significantly to a country's national production. They are, however, susceptible to both large and little opponents, and need all the assistance they can get. IPR training and platforms are a great way to give them this protection and assist them to protect their investments and business ideas. Basic IPR protection mechanisms are also an indispensable skill, according to all 164 members of the WTO. This is also crucial in terms of international trade. According to research, IP-intensive companies produce 72% higher value per employee globally than non-IP-intensive sectors. Good IPR policies are universally acknowledged to result in more jobs, more production, and increased skills. In industrialized nations such as the United Kingdom, Germany, Italy, and France, the L2Pro platform has already been shown to be successful.⁵⁷

5.6 | Value addition

The average technology value-addition in Indian manufactured items exported is about 8%. When compared to other emerging countries, it is quite low. The poor value addition is most noticeable in industries like gems and jewelry, where value addition is almost nonexistent. For example, engineering and leather products lag behind in terms of value addition. As a result, in the future, they will need to enhance their value addition.⁵⁸

5.7 | Separate umbrella organization

A unified umbrella body dedicated to the growth of the Indian MSME sector may attract more policymakers' attention. The Ministry of MSME, the Reserve Bank of India, and the Small and Industrial Development Bank of India have all taken many steps to help Indian MSMEs progress, finance, and expand. However, an umbrella organization that would give extra assistance for Indian MSMEs, such as technological support, design output, enabling raw material supply, marketing support, and so on, is always welcome.⁵⁹

6 | CONCLUSION

MSMEs, the growth engine of Indian economy is an integral part of the supply chain contributing about 29% of the country's gross domestic product. They are the cornerstone of all major countries' economy. The importance of IPR for MSMEs stems from the fact that it gives them a technological advantage, which gives them a competitive advantage. MSMEs require IPR to prevent rivals from duplicating or closely replicating their products or services, as well as to establish organizational identity, boost market value, and gain entry to new markets. In this COVID-19 environment, it is crucial to establish methods for encouraging innovation in the MSME sector. In today's global marketplace, innovation and technology are more important than fixed or real assets.⁶⁰ Regular awareness and sensitization events in various settings might make IPR more effective for MSMEs. MSMEs might be enticed to adopt IPR by providing them with the necessary consulting services, as well as technical and financial assistance. MSMEs that employ IPRs should be acknowledged and rewarded to spread the word about how important IPR is to small businesses. IPRs are viewed as a means of achieving economic, social, and technical development by protecting ideas, stimulating creativity, and assisting

in the creation of technology.⁶¹ It is vital to assist and educate MSMEs in order for them to make effective and efficient use of resources, as well as to keep up with the latest methods and technologies being used across the world and to develop skills to meet global competences. To boost MSMEs through IPR in the future days and preserve economic viability, the government has launched a slew of programs that stimulate innovation through dynamic technology, research and development, and effective strategies and execution. By embracing and adapting IPRs, such as trademarks, copyrights, and patents, as well as utilizing the GI tag, and so on, MSMEs may develop a brand for their products and services, which can lead to increased market share and long-term viability. Integration of IPRs will enhance exports and contribute to the Indian economy. The lack of appropriate networking strategies, which is a roadblock to MSMEs acquiring information and exploiting the opportunities as well as their intelligence, entrepreneurial, and their innovative mode. If there are entities with "one-size-fits-all" workforce under one roof, it may benefit the organizations that can enhance their profit margins by optimizing their resources.^{62,63} Because governments are so important in granting market access, they adopt policies that have an impact on the trading environment.^{64,65} Governments are responsible for fostering an environment that encourages MSMEs to become competitive. The policies play a crucial role in fostering conformity to global market needs by enhancing their competence to supervise the execution of international quality standards.^{66,67} The government may also make obtaining IP information easier for entrepreneurs. Learning about the legislation, taxes, customs rules and regulations, company consulting services, training opportunities, and funding sources can be expensive and time-consuming.⁶⁸ Governments can assist MSMEs in integrating into the global supply chain by creating small business administrations tasked with assisting them; business associations can be urged to shoulder some of this burden.^{69,70} Every MSME should do a comparison with industrialized nations. In terms of IPR strategy, the government should take appropriate steps for MSMEs. Every industrial region should start with an IP building hub, according to the appropriate government. MSMEs may generate a broad range of employment markets, business markets, and other markets as a consequence of constant innovation and growth in all aspects, and they can support the current Aathmanirbhar, that is, "Vocal for Local." Indian companies, particularly small and medium firms, are falling behind in realizing the value of IPR and responding effectively to global developments in the IPR landscape.⁷¹ It is important for MSME in India to adopt a proactive approach to the development, protection, and management of IP to compete in the global market and achieve company success. India should engage in international innovation network and expand its collaboration with other research institutes, universities, and businesses. MSME are hesitant to use IPR as a business strategy in the era of increasing competitiveness for becoming a more efficient global player. There is a general lack of awareness of IPR as a tool for gaining a competitive advantage in the commerce and technology industry and adding value to the firm. Further research on the issue may be done by focusing on samples chosen from each industry and evaluating them separately to see whether the same IPR method can be used for economic sustainability.

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CONFLICT OF INTEREST

The authors declare no conflict of interest.

DATA AVAILABILITY STATEMENT

Data sharing not applicable to this article as no data sets were generated or analyzed during the current study.

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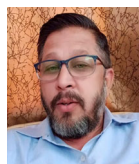
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